

Costco Wholesale (NASDAQ: COST)

A great business at a price the cash flows cannot reach

\$980

Share price, 31 Jan 2025

\$337

Base-case DCF value per share

-66%

Value vs. price

Investment thesis: admire the business, not the price



A fee engine that makes earnings durable

Membership fees were 52% of FY2024 operating income, with 92.9% renewal in the U.S. and Canada. The Sep 2024 fee rise lifts fee growth to ~11% in FY2025.



A cost structure rivals struggle to copy

Fewer than 4,000 SKUs, suppliers paid after goods sell and fees collected upfront: working capital is -4.8% of revenue and ROIC ~33%.



Growth is steady, not explosive

Base case: revenue +6.6% a year to \$349.5bn by FY2029, operating margin 3.65% to 3.77%, EPS \$23.13.

View: overvalued on fundamentals. Bear / base / bull \$263 / \$337 / \$400; probability-weighted \$334.

But the price assumes far more

\$337 base-case DCF

\$980 share price

- To justify the price, cash flows must grow 7.0% a year forever after FY2029 (base case 3.0%),
- or the cost of capital must be 4.8% (base case 8.4%).
- Costco trades at 57x LTM earnings; the peer median is 16x.

Valuation: all methods land far below \$980



8.38% WACC

Risk-free 4.58%, Blume beta 0.89, Damodaran ERP 4.33%; debt is 1.5% of capital.

81% of EV is terminal value

Growth 3.0%, reinvestment set by a 25% return on new capital; 9.9x FY2029 EBITDA.

\$299–380 operating range

Comparable sales ± 2 pp a year and gross margin ± 30 bp. The gap is about duration and discount rate, not next year's numbers.

Risks and what would change my view



Why I could be wrong (upside risk)

- Investors keep pricing Costco like a bond: a 6.0% WACC gives ~\$596, 5.5% ~\$713.
- International expansion sustains 8–10% growth for decades.
- New high-margin income: retail media, financial services, faster fee increases.



Risks to the business (downside)

- Consumer slowdown; price competition from Walmart/Sam's Club and Amazon.
- Wage and tariff cost inflation.
- New warehouses cannibalize old ones and slow member growth.
- Multiple compression from 57x earnings toward the peer range.



What would change my view

Price. A fall toward \$452–548, where Walmart and BJ's multiples would value Costco.

Growth runway. Evidence Costco can compound ~8% for decades: at 8% it needs 76 years after FY2029 to justify \$980.

Discount rate. A lasting fall in rates or risk premia. Each 0.5pp off WACC adds only ~\$33/share; the price needs 4.8%.

Not enough on its own: a strong quarter. Operating upside moves value to \$380 at most.